

Reading the Candles

An introduction to candlestick charting — anatomy, key reversal patterns, and how to read what price is telling you

By Marcel Tegos | Standard III Wealth | September 17, 2026

Every candlestick on a chart is a small, self-contained story. In the space of a single bar — whether it represents a minute, an hour, a day, or a week — it records the full arc of a trading session: where price opened, how high buyers managed to push it, how low sellers managed to drag it, and where the tug-of-war finally settled at the close. Learn to read that shape correctly, and a chart stops being a wall of noise and starts reading like a narrative — who was in control, when they lost it, and what usually happens next.

This piece walks through the anatomy of a single candle, then works through the most important single- and multi-candle reversal patterns traders watch for, with an example chart for each so the shape is easy to spot in the wild.

Anatomy of a Candle

Every candlestick is built from four prices: the open, high, low, and close for that period. The thick, rectangular part of the candle — the **body** — spans the distance between the open and the close. When the close is higher than the open, the body is typically shown in green (or white, on older charts), signaling that buyers were in control during that period. When the close is lower than the open, the body is shown in red (or black), signaling sellers were in control.

The thin lines extending above and below the body are the **wicks**, or shadows — they mark the highest and lowest prices reached during the period, even if price didn't stay there by the close. A long wick means price was pushed to an extreme and then rejected; a short or absent wick means price closed at or near its extreme for the period, with very little pushback.

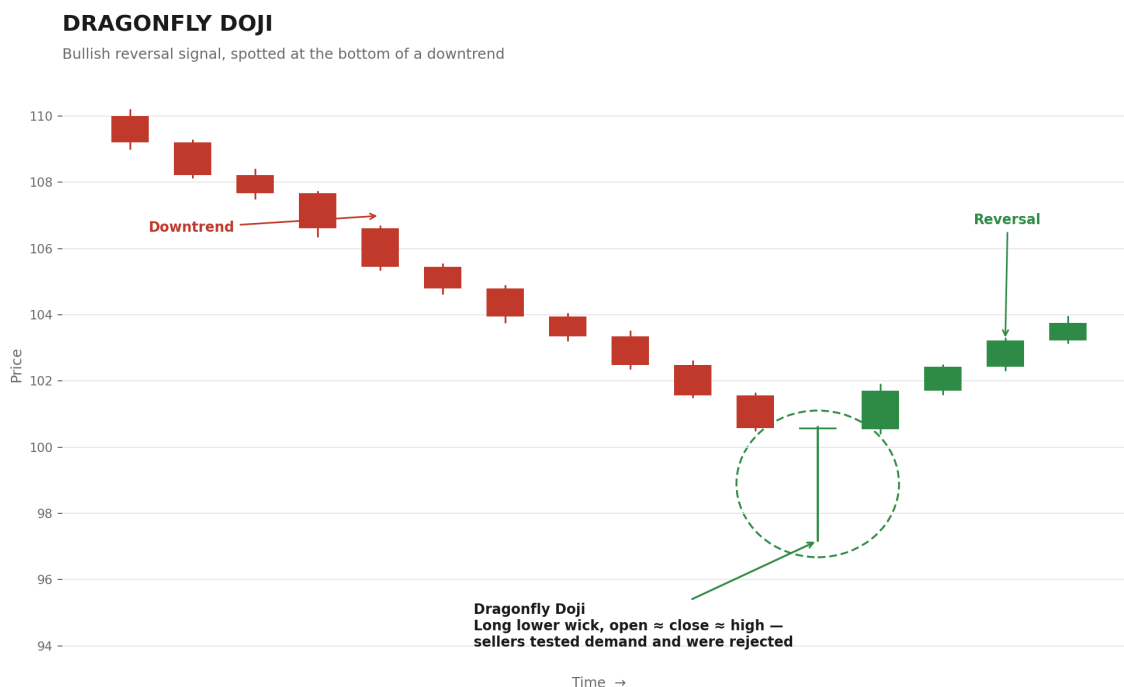
The relationship between body size and wick length is where most candlestick analysis actually lives. A large body with small wicks shows strong, decisive conviction in one direction. A small body with long wicks on both sides shows indecision — a fight that ended in a draw. Nearly every pattern in this article is built from some variation of that basic relationship.

The Doji Family

A doji forms when the open and close of a period land at nearly the same price, leaving little or no real body. On its own, a doji simply means buyers and sellers fought to a standstill — but where it appears, and the shape of its wicks, changes what it's telling you.

Dragonfly Doji

A dragonfly doji is shaped like a "T" — a long lower shadow with almost no body and almost no upper wick. It forms when sellers push price sharply lower during the session, only for buyers to step in and drive price all the way back up to where it opened. Found at the bottom of a downtrend, it's read as a bullish reversal signal: the market tested where demand was hiding, found it, and got rejected.



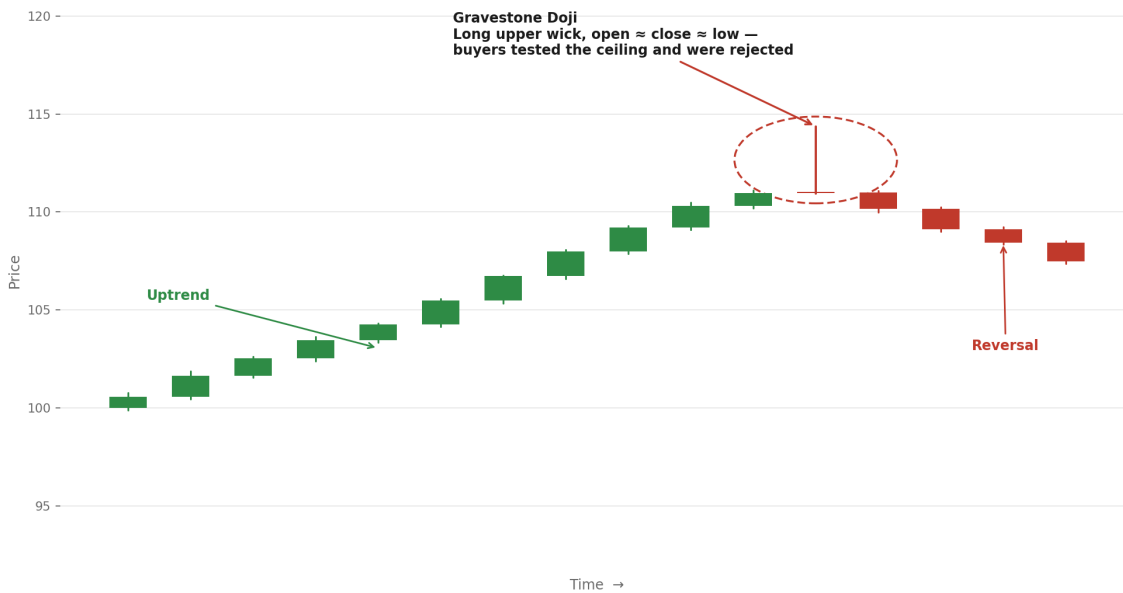
The dragonfly doji shown within a downtrend, followed by a reversal higher.

Gravestone Doji

The mirror image of the dragonfly — an upside-down "T" with a long upper shadow and almost no lower wick. It forms when buyers push price sharply higher, only for sellers to drag it back down to the open. Found at the top of an uptrend, it signals that buying pressure may be exhausted and a reversal to the downside could be forming.

GRAVESTONE DOJI

Bearish reversal signal, spotted at the top of an uptrend



The gravestone doji shown within an uptrend, followed by a reversal lower.

Long-Legged Doji

Shaped like a plus sign, with long shadows extending both above and below a tiny or nonexistent body. Where the dragonfly and gravestone show a one-sided rejection, the long-legged doji shows both sides fighting hard and neither one winning. Context decides how to read it: after a strong uptrend it's treated as a potential bearish reversal, and after a strong downtrend as a potential bullish reversal — in both cases, a sign the prevailing trend has lost its conviction.

LONG-LEGGED DOJI

Indecision signal, spotted after a sustained trend



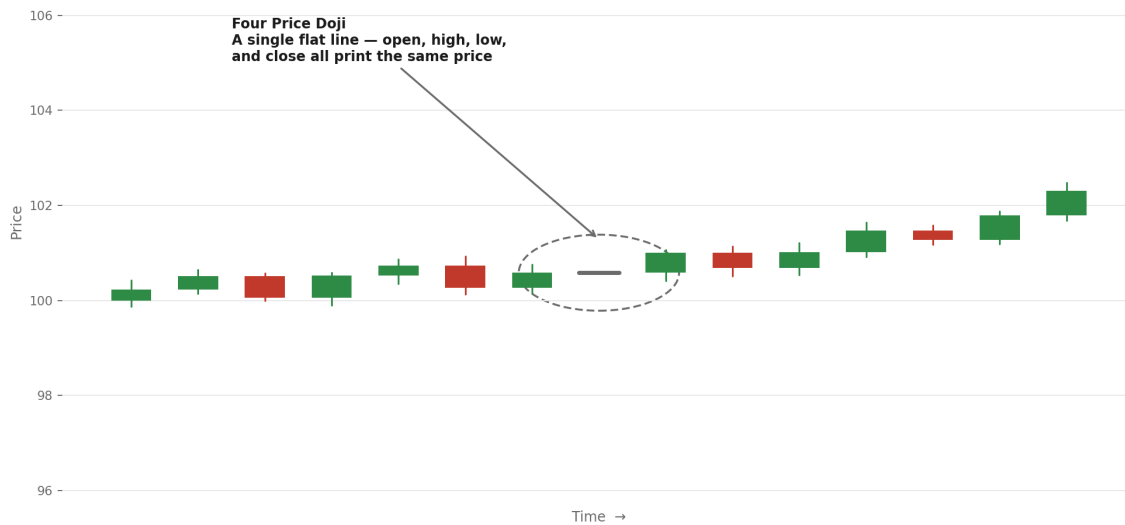
A long-legged doji forming after a sustained uptrend, followed by indecision resolving lower.

Four Price Doji

The rarest and most extreme doji: the open, high, low, and close all print at exactly the same price, leaving nothing to draw but a flat horizontal line. It almost always points to extremely thin trading volume rather than a genuine standoff between buyers and sellers, and on an actively traded chart it's more often a liquidity warning than a tradable signal.

FOUR PRICE DOJI

Open = High = Low = Close — no range, no wicks



A four price doji sitting flat amid otherwise normal price action.

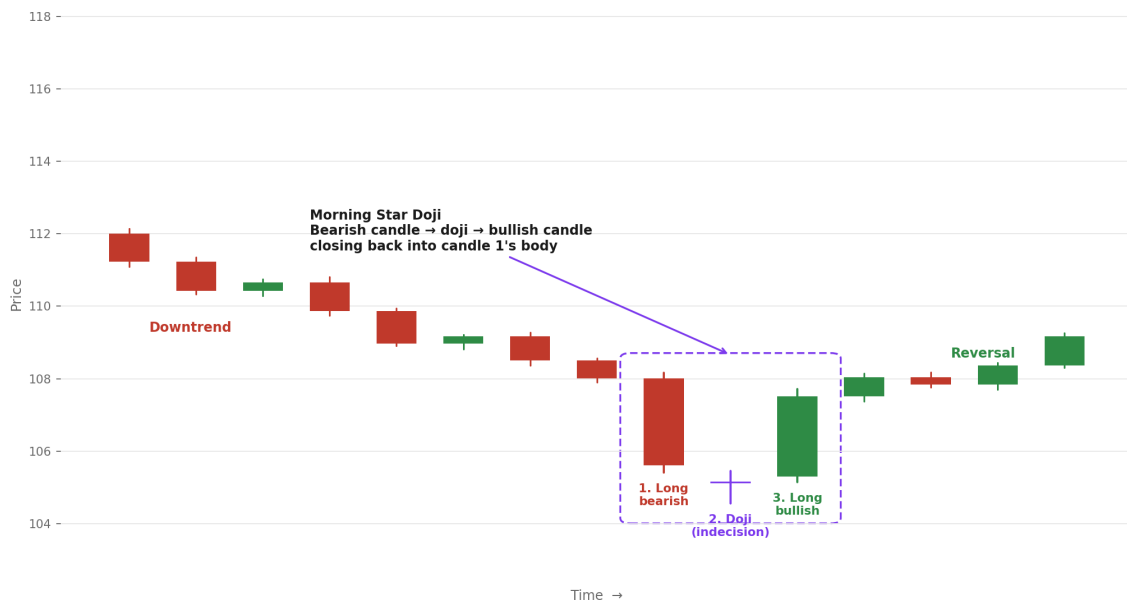
Multi-Candle Patterns

Morning Star Doji

A three-candle bullish reversal pattern found at the bottom of a downtrend. The first candle is a long, decisive bearish candle; the second is a doji, reflecting a market that has stalled; the third is a long bullish candle that closes back into the first candle's body, confirming buyers have taken over. Together, the three candles trace dominance, hesitation, and reversal — which is what makes this doji variant more reliable than the standard Morning Star.

MORNING STAR DOJI

Bullish reversal pattern, spotted at the bottom of a downtrend



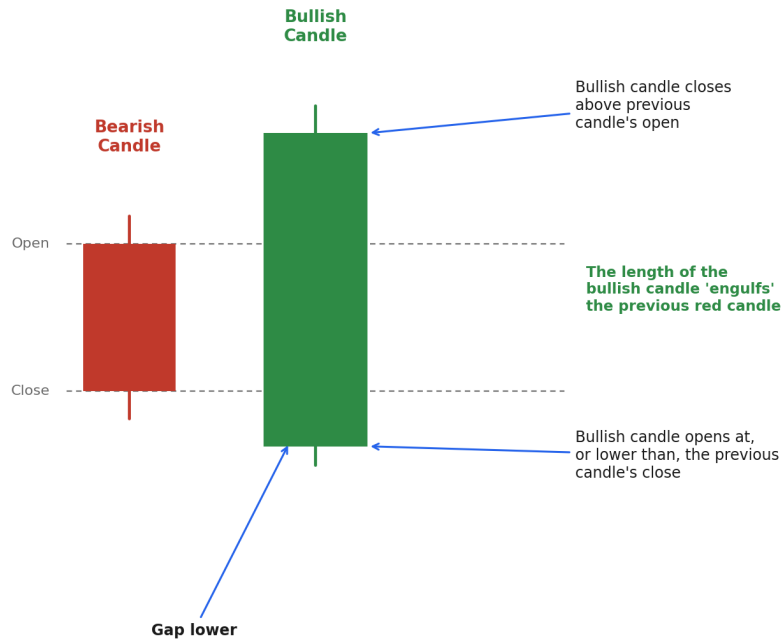
The three-candle Morning Star Doji sequence, boxed, within a downtrend-to-reversal setup.

Bullish Engulfing Candle

A two-candle reversal pattern where a larger candle's body completely engulfs the body of the smaller candle before it. When a small bearish candle is followed by a larger bullish candle that swallows it whole — opening at or below the prior close and closing above the prior open — it signals a potential reversal to the upside. The larger the engulfing candle relative to the one it swallows, the more convincing the shift in sentiment.

BULLISH ENGULFING CANDLE

A larger bullish candle engulfs the prior bearish candle's body



Anatomy of a bullish engulfing candle relative to the bearish candle it engulfs.

Reading Patterns in Context

No candlestick pattern means much in isolation. A doji can mark genuine indecision, or it can be one candle in a longer trend that's still very much intact. A reversal candle only carries weight when it shows up at a real extreme — after a sustained move, ideally near a level of known support or resistance. And even the strongest-looking pattern benefits from confirmation: a follow-through candle in the expected direction, a pickup in volume, or a break of a nearby trendline.

The patterns covered here are a starting vocabulary, not a checklist. The real skill in candlestick analysis is learning to read these shapes the way they're meant to be read — as pieces of a larger story the market is telling one candle at a time, not as standalone signals to trade on their own.